WHITE PAPER · PORTFOLIO AND AI GOVERNANCE

The faster your review steps in, the better its rescues look

Projects picked for a bad quarter partly recover without the rescue, so a quicker trigger produces a higher turnaround rate whether or not the rescues help



Marco Policani

Portfolio · Program · PMO

October 2026

policani.net/governance

THE CENTRAL ARGUMENT

Many portfolio reviews step in each quarter where a project's numbers turn bad, and count the projects that come back as rescues that worked. A project picked for a bad reading is picked partly for swing that does not last, so it partly recovers whatever the rescue did. The more readily a review steps in, the higher its turnaround rate, and a stricter rule lowers it, whether or not the rescues help. The review's own trigger line holds the makings of a fairer test: compare projects just past the line with projects just short of it, provided teams cannot steer their readings around it.

You move money and people during the year. Each quarter your portfolio review looks at the latest results. Where a project's numbers have turned bad and the team has named a cause, you step in with a recovery plan, more people or a new lead. Many of those projects come back. The share that come back, your turnaround rate, is part of why you trust the review. If you have ever moved from a half-year look to a quarterly one, or lowered the bar for stepping in, you may have watched that rate rise and taken it as proof the change worked.

It is not proof. A project picked because its last reading was bad is picked partly for swing: movement in the number that does not last. So the projects you rescue partly recover whatever the rescue did. The more readily you step in, the more of your picks owe their bad number to swing, and the higher your turnaround rate. The reverse holds too. Make the rule stricter, and your turnaround rate will fall even if your rescues work just as well. A study of English football shows how strong this effect is. Clubs that replaced their manager after a poor run averaged 0.21 more points per match afterward than before. In seasons when the same clubs had a similar poor run and made no change, they also gained 0.21 points per match. Control limits and rules such as "red for two quarters" help, but they do not remove the effect.

You do not have to stop stepping in during the year. You have to stop judging your rescues, and any change to your review, by how many projects came back. Your review already holds the makings of a fairer test. Projects whose reading fell just past the line you set for stepping in looked almost the same as projects that fell just short of it. Most of the first group got help, and most of the second did not. Over enough years, plot how each did afterward against where it stood when you decided, and look for a jump at the line. As long as teams cannot steer which side of the line they land on, that jump shows what stepping in at the line does, compared with carrying on under your normal rule.

ARGUMENT AT A GLANCE

What the turnaround record can and cannot show

What you pick

The worst number on the list, which is partly swing that will not last.

What the record shows

Recoveries that would partly have come anyway, more of them the faster you step in.

What to check

Whether projects just past your line did better than projects just short of it.

Applies to moves meant to fix a running project, chosen by a number that swings a lot compared with any lasting change.

Why you step in during the year

Moving resources can pay. Consultants at McKinsey, writing with the strategy professor Dan Lovallo, studied more than 1,600 US companies from 1990 to 2005 [1]. For a third of the business units, the capital they got each year was almost exactly what they got the year before. Companies in the top third for moving capital between units earned, on average, 30 percent higher annual returns to shareholders than those in the bottom third. Over periods shorter than three years, though, the companies that moved more did worse. The authors point to investor caution and to how closely the moves follow strategy as possible reasons. They advise moving capital "consistently over the medium to long term in service of a clear corporate strategy" [1]. Quarterly rescues are not what they studied, but they come from the same push to move resources rather than leave them where they are. Once you move them during the year, you need to know which moves work, and the evidence you have is what happened after each one.

What a quarter's numbers contain

Evidence on this comes from cost tracking on US defense contracts. David Christensen and Scott Heise studied 155 contracts whose cost data was summarized each quarter [2]. They measured cost efficiency: the budgeted value of the work done for each dollar actually spent. Among other ways, they measured it over the second half of each contract, from 50 percent complete to the end. They took it over the latest three months, as a six-month average updated each quarter, and from the start of the contract to date. They called a reading stable if it stayed within a band of 0.2.

These three behaved very differently over the same stretch. The three-month reading stayed stable in only 6 percent of contracts, and on average its high and low were more than a full point apart (1.07). The six-month average stayed stable in 19 percent, with an average spread of 0.53. The figure to date stayed stable in 153 of the 155 contracts, with an average spread of 0.07 [2].

If a project's real efficiency had shifted as much as its quarterly readings did, and stayed shifted, the figure to date would have moved far more than 0.07. So most of the movement in the quarterly reading did not last. That is this paper's interpretation of their figures, not their claim.

Three things limit that interpretation. A few wild contracts pull the average spread up; the widest three-month spread was 17.7. A change that starts late barely shows in a running total such as the figure to date. And these contracts were managed the whole time, so the figures show movement that did not last under normal management, not recovery with nobody doing anything.

Some of a bad quarter is real. The authors found that the figure to date usually drifted down, so part of a dip can be a lasting slide. That is why a dip has to be read against the project's own trend, not against a fixed level.

Why the projects you pick will partly recover anyway

Now apply that interpretation to a review. You look down the list and step in where the latest number is worst. A number that is low partly because of swing is more likely to land at the bottom of the list than one that is low only because of lasting problems. So among the projects you pick, part of what makes the number bad is swing. Next quarter the swing will usually not repeat, so on average the number will partly recover whether or not your rescue did anything.

Statisticians call this regression to the mean. Adrian Barnett and colleagues describe it as an effect that "can make natural variation in repeated data look like real change." It grows, they write, "with increasing measurement error and when follow-up measurements are only examined on a sub-sample selected using a baseline value" [3]. A review that follows up only the projects it picked for a bad number, on the same kind of number, is doing exactly that.

What happened when football clubs changed managers

You may know the idea. Two things are less clear: how much it matters when people make real decisions on real results, and whether a longer stretch of results escapes it. Football gives a useful test, because results are public and counted the same way every week. Lucas Besters, Jan van Ours and Martin van Tuijl studied 15 seasons of the English

Premier League [4]. Earlier studies they cite find that clubs tend to replace a manager when results fall short of what was expected. Of 84 in-season changes, 74 came between the fifth and 34th match, and 61 of those could be matched. Each was compared with a season of the same club in which nobody was replaced, at a similar point in the season and with a similar shortfall so far against what bookmakers' odds had predicted.

After a change, points per match rose by 0.21. In the matched seasons with no change, they also rose by 0.21. For the changes that were outright dismissals, the gain was 0.28 after the change and 0.26 in the matched seasons. The difference was not statistically significant. In the authors' words, "performances would have improved irrespective of the manager in charge" [4].

Two details matter for a portfolio. First, the matching was on the shortfall built up over the season so far, not on one bad match. Seasons with a similar shortfall and no change recovered just as much. So, on this evidence, even a shortfall added up over many matches held enough swing to produce an apparent recovery. A longer stretch of results helps only if it actually washes out the swing.

Second, the authors explain why clubs keep changing managers. Results after a change are often better than before, so the change looks like a success. A before-and-after comparison that ignores what would have happened anyway is misleading, they write, but that is how owners, fans and the press see it. Acting and failing also looks better than failing without acting. From their case studies and the spread of results, the authors judge that some changes helped and some hurt. They found no pattern among the traits they tested [4].

The study has limits. The comparison seasons had no change at any point, so a season that kept sliding is less likely to be among them. That may flatter the seasons without a change and hide some benefit from the changes. Those seasons may still have had other action, such as new signings. And bookmakers' odds are a sharper forecast than most project plans, so more of a project's shortfall may be lasting.

Football is not a portfolio. The comparison holds where a project's numbers swing a lot compared with any lasting change, where the review picks projects by those numbers, and where the move is meant to fix the project. Under those conditions, your turnaround rate comes from a before-and-after record, the kind the authors call misleading.

Why a quicker trigger makes the record look better

Three separate choices shape how readily a review steps in: how long a period each reading covers, how bad a reading must be before you act, and how often you read the numbers. All three change which projects you pick.

A reading over a shorter period swings more. In the defense data, where both were read each quarter, the three-month reading's average spread was about twice the six-month average's: 1.07 against 0.53 [2]. Reading the numbers more often gives each project more chances to post one bad reading. A six-month average updated each quarter spread 0.53; a six-month figure read only every six months spread 0.42 [2]. A lower bar picks projects whose readings are closer to acceptable, and they need less recovery to get back to an acceptable reading. Where most projects are sound, it also adds sound projects having a bad patch.

Each of these raises the share of picked projects that come back to an acceptable reading, and a stricter rule lowers it, even when the rescues work exactly as well. No study here changed a review's trigger and watched its turnaround rate. This part of the argument is reasoning from the defense figures and the statistics above.

So if you moved to a quicker cycle or a lower bar and saw more turnarounds, that cannot by itself show the change worked. It is what you would see if your rescues did nothing at all. If you tighten the rule and see fewer, that cannot by itself show the change failed. A quicker cycle may catch real trouble sooner, and that is a benefit. The turnaround rate just cannot show it.

Control limits and a "red for two quarters" rule help. They screen out some swing. But even when a project's trouble is real, the worst reading that got it picked is worse than the trouble itself, and part of what follows is that extra drop wearing off. These rules reduce the effect. They do not make the record evidence.

These choices have costs, and neither cost shows in the record. People and money go to rescues that may not have been needed, and the people you move leave other work behind. And you cannot tell from the record whether your rescues help, or whether a change to your review helped, so you cannot get better at either. If the record looks better each time your review reacts to more swing, it cannot be used to judge those review choices.

"But a bad quarter can be a real warning"

It can. Some signals last. A change you can confirm without the numbers, and that you expect to last, is one: a customer lost, a test failed, a strategy changed. A cost overrun to date on a contract past its early stages is another; in the defense data, that figure usually got worse from there [2]. Do not wait on those. The point is to tell them apart from one quarter's swing. Running totals on other measures will not always behave like the cost-efficiency figure to date on a defense contract, and the football shortfall shows that a total can still hold enough swing to mislead.

You may say you act on a diagnosis, not a number. But after a bad quarter, a cause can almost always be named. Ask whether you can confirm that cause without looking at the dip.

If your review uses only red, amber and green ratings, the argument applies as far as the colors follow a number that swings. Colors set by judgment may lag rather than bounce around, and then less of a red rating comes from swing. That weakens the effect but still does not make the turnaround rate evidence.

And your team may simply be good at rescues. Some teams may be; the football study allows that some owners may spot the changes that will work [4]. The before-and-after record cannot show which.

How to tell whether stepping in works

A fair test needs projects that looked alike when you decided and were handled differently for a reason that does not predict recovery. Your own line for stepping in supplies one. Take every project whose reading fell just past the line and every project whose reading fell just short of it. Both groups had nearly the same reading, so they carry about the same swing. The line, not your guess about who would recover, decided which side each fell on.

This method is well established in economics. David Lee and Thomas Lemieux trace it to a 1960 study that compared students just above and just below the cutoff score for a merit award [5]. Near the cutoff, they write, which side a case lands on is "randomized as though from a randomized experiment," as long as no one can "precisely manipulate" it [5]. Applying it to a portfolio review is this paper's own addition.

Four choices make the test fair, and all of them are set before you look at any results. First, group projects by side of the line, not by what you did. Most projects past the line will have been rescued and most short of it not, and projects you overrode stay in their side's group. Check that rescue really was much more common just past the line. If it was not, the line did not decide, and the comparison shows nothing.

Second, count each dip once, at the project's first reading in that dip that crossed or came near the line. State in advance what ends a dip, such as a return to an acceptable reading, so that a later dip in the same project counts as a new one. A project just short of the line may be rescued at a later review, and it stays in its group. So the test compares stepping in now with carrying on under your normal rule, not rescue with no rescue. If many projects short of the line are rescued a review later, a small jump may only mean that stepping in one review earlier adds little, not that rescues do nothing.

Third, set the outcome you will measure in advance, so that both groups can fail it. Use the original measure, against the original baseline, at a follow-up point set before any results are in. A rescue that resets the plan cannot earn credit that way. Projects stopped

or re-scoped during follow-up stay in their group under a rule you state in advance.

Fourth, look for a jump rather than comparing two averages. With few projects, the band around the line has to be wide, so the projects past it have worse readings on average than those short of it, and a plain comparison of the two groups' rates is biased [5]. Instead, plot each project's later result against its reading when you decided, and see whether results jump at the line. Check that the answer holds with a narrower and a wider band.

A jump at the line shows what switches on there, all together: the red status, the board's attention and the rescue. Lee and Lemieux call it "the combined effect of all factors that switch on at the threshold" [5]. That combined effect is still what a board deciding whether to step in needs to know.

The test fails if teams can steer which side they land on. Readings near a line are often partly produced by the team, such as percent complete or a self-set status. A team that knows a reading past the line brings an unwanted rescue may hold its number just short. To check, look for a pile-up of readings just short of the line, and check that things already set before the decision, such as size, age and type of project, look alike on both sides [5]. With few projects, these checks are weak reassurance, not proof.

Judge a proposed change to your line the same way, never by the turnaround rate. A change to how often you read the numbers, or to how long a period each reading covers, is not tested at the line; for those, this paper claims only that the turnaround rate cannot judge them. The test also has limits of its own. It answers only for projects near the line, which is exactly where a board deciding whether to move its line needs an answer. It needs a numeric trigger applied as a rule, so it is not available where the board steps in on colors set by judgment. It needs years of dips, not quarters. And each change to the line starts a new count, so a new trigger can be judged this way only years later.

Separately, you can lower the share of picks made on swing. Check a dip against the project's own trend and its usual swing before stepping in. Then wait one more reading, unless there is a change you can confirm without the numbers and expect to last. That has a price. A real slide with no outside cause gets one more reading before anyone acts. In the defense data the figure to date settled early and then usually got worse. From that, this paper infers that a slide left alone early can lock in much of the final overrun, so the price of waiting weighs more early in a project. It also weighs more on short projects and against fixed dates. If a dip you waited on proves real, the sponsor who waited is exposed.

And a check made case by case puts judgment back at the line, which weakens the test unless the check is written as a fixed rule. A sponsor who judges that waiting costs too much can reasonably step in at once, but should then not read the turnaround rate as evidence.

There are other ways to respond, and each gives something up. Holding to the annual plan gives up responding during the year. Rescuing on the trigger and changing only how you give credit keeps your quick response and fits the test at the line, but it still spends people on swing. Leaving some dips alone at random, or by a fixed rule set in advance, gives the cleanest comparison. But it leaves those projects without help for a while, the same price as waiting, so it suits only a board with many similar projects and small dips.

When it is worth the trouble

The test costs a note in the review log for each project at each review: its reading, whether it crossed the line and what was done. You run the comparison once enough projects near the line have built up. It is worth it where you step in often on similar projects. For a portfolio of a few very different projects, comparisons stay thin. This paper gives no figure for the cost, so the call on where the test is worth it is a judgment, not a measured finding. A sponsor with few similar projects can reasonably judge the test too slow to be worth keeping, and should then simply stop reading the turnaround rate as evidence.

The argument has limits. It covers moves meant to fix a running project, such as a recovery plan, more people or a new lead. It covers them when they are chosen by a number that swings a lot compared with any lasting change, whether that number covers a quarter or the year to date. It does not cover cutting or stopping projects, moving money toward strong ones, or choosing among new proposals. It does not claim that rescues fail. It claims that the before-and-after record cannot show whether they work, that it overstates them on average, and that it rises and falls with how readily you step in.

The review's question changes from "did it come back after we stepped in?" to "did projects just past our line do better than projects just short of it?"

Sources

1. Stephen Hall, Dan Lovallo and Reinier Musters, McKinsey Quarterly. How to put your money where your strategy is (2012).
2. David S. Christensen and Scott R. Heise, National Contract Management Journal. Cost Performance Index Stability (1993).
3. Adrian G. Barnett, Jolieke C. van der Pols and Annette J. Dobson, International Journal of Epidemiology. Regression to the mean: what it is and how to deal with it (2005).
4. Lucas M. Besters, Jan C. van Ours and Martin A. van Tuijl, De Economist. Effectiveness of In-Season Manager Changes in English Premier League Football (2016).
5. David S. Lee and Thomas Lemieux, NBER Working Paper 14723 (published in the Journal of Economic Literature, 2010). Regression Discontinuity Designs in Economics (2009).